# INS-303 Review Sheet

The split for approval, and where the July 20 edits landed | July 23, 2026

**Prepared for Dennis Lanni, HGF Management Company**

**July 23, 2026. Two things on one sheet: the public-versus-portal split for your approval, and a map of exactly where your July 20 edits landed, so nothing has to be hunted for.**

## Part one: the split, chapter by chapter

The question to answer per line is simply: does this belong on the open website, or behind the investor login? Reply "approved" to take the split as marked, or name the sections to move.

**Chapter 1, the offer (1.1 through 1.5): all PUBLIC.** What the note is, why the paper exists, the segment size, the tax status, and what is proven versus not. This is the storefront.

**Chapter 2, capital structure: PUBLIC except 2.4.** The instrument, the facility, and the optional take-out are public. Section 2.4, the commercial terms set at term sheet (advance rate, pricing, covenants, facility size), is PORTAL.

**Chapter 3, funding flow: PUBLIC except 3.3.** The pipeline, origination, repayment, and the take-out narrative are public. Section 3.3, the closing and advance mechanics, is PORTAL.

**Chapter 4, credit enhancement: PORTAL except the settled parts.** The counsel-gated placeholder sections (4.1, 4.4) are PORTAL. The statutory protections and the 2 percent burden ceiling (4.2, 4.3) are PUBLIC, because they exist regardless of what counsel later sets.

**Chapter 5, security: PUBLIC except 5.5.** Lien standing, rate stability, the four-to-one test, and the illustrative sizing are public. Section 5.5, the waterfall, is PORTAL and counsel-gated.

**Chapter 6, underwriting and risk: all PUBLIC**, including the plainly stated risk section, which is deliberate: the honesty is the marketing.

**Chapter 7, administration: PUBLIC except 7.3, and 7.4 splits.** Who does what, the annual cycle, and prepayment are public. Maker-and-checker service detail (7.3) is PORTAL. Delinquency (7.4) states the principle publicly and keeps the reporting detail PORTAL.

**Chapter 8, reporting: PORTAL except 8.2.** The reporting package, the portfolio tape, and continuing disclosure are PORTAL. The statutory reporting that happens regardless (8.2) is PUBLIC.

The pattern in one sentence: what the program is and why it is safe is public; the numbers, mechanics, and terms a counterparty negotiates are behind the login.

## Part two: where your July 20 edits landed

**"Say 25 percent debt-to-value instead of four-to-one."** Done in three places. Developer Guide section 2 now reads "financing capped at 25 percent of the lots' appraised value"; section 4 reads "the financing cannot exceed 25 percent of that appraised value"; and the Capital Partner Brief is retitled "Small notes. County-collected liens. 25 percent debt-to-value." with the matching bullet beneath it.

**"Word the costs as a percentage of the amount financed plus hard fees."** Done. Developer Guide section 6 now reads "an origination fee set as a percentage of the amount financed, stated on your term sheet, plus the hard costs of execution... targeted at $5,000 to $30,000."

**"The city council doesn't need a hearing on annexation."** Done, and verified against the statute, which is stronger than the INS-002 citation. Developer Guide section 5 now reads "your parcels join with the unanimous approval of the owner, your signature, without any requirement for further public hearings or additional proceedings (Government Code 53339.3(b) and 53339.7)... No hearing, no election, no campaign: paperwork and a recording."

**"Reframe what-it-is-not, the money side."** Done in plain language that keeps every true limit. Developer Guide section 10 now opens "This is not a loan to you. You never sign a personal guarantee, and nobody ever sends you a bill to pay the money back," and carries through the yearly charge, escrow disclosure, setup costs, and the term sheet caveat. The three summary sentences were also added to section 1: not a loan but a tax on the land; the lots repay the principal, not you; your cash stays in your pocket at the permit counter.

**"You're missing that the investment is tax exempt."** Done. Investor Guide gains section 1.4, "Tax status of the interest": the notes are intended to be issued as tax-exempt obligations, federal and California, the customary pattern for California CFD financings, with bond counsel's opinion at closing making the exemption effective. The Capital Partner Brief carries the matching bullet.

**"Investor won't care about rate stability."** Done on the brief: that bullet is removed from the one-pager (the full argument stays in the guide at 5.2, where it reads as credit stability).

**"The title already says preliminary."** Done: the duplicate honesty sentence is out of the brief's intro; the Read-this-first box carries it.

## Part three: the three items still waiting on your input

The 19 percent stabilized debt-to-value figure needs its basis before it can ship on marketing. The replacement permit data you mentioned needs the source file or link. And single-lot eligibility needs your written confirmation, because it ripples through the whitepaper, both guides, the site, and the brief, and it gets propagated everywhere in one pass once confirmed.